Table 1. **Do You Need To Pay Employment Taxes?**

| IF you ... | | THEN you need to ... |
|---|---|---|
| **A** | Pay cash wages of $2,700 or more in 2024 to any one household employee.<br><br>Don't count wages you pay to:<br>• Your spouse,<br>• Your child under the age of 21,<br>• Your parent (see *Wages not counted*, later, for an exception), or<br>• Any employee under the age of 18 at any time in 2024 (see *Wages not counted*, later, for an exception). | Withhold and pay social security and Medicare taxes.<br>• The taxes are 15.3%[1] of cash wages.<br>• Your employee's share is 7.65%.[1] (You can choose to pay it yourself and not withhold it.)<br>• Your share is 7.65%. |
| **B** | Pay total cash wages of $1,000 or more in any calendar quarter of 2023 or 2024 to household employees.<br><br>Don't count wages you pay to:<br>• Your spouse,<br>• Your child under the age of 21, or<br>• Your parent. | Pay FUTA tax.<br>• The tax is 6% of cash wages.<br>• Wages over $7,000 a year per employee aren't taxed.<br>• You may also owe state unemployment tax. |
| [1] In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold. | | |
| **Note.** If neither A nor B above applies, you don't need to pay any federal employment taxes. But you may still need to pay state employment taxes. | | |

Table 2. **Household Employer's Checklist**

*You may need to do the following things when you have a household employee.*

| | |
|---|---|
| **When you hire a household employee:** | ☐ Find out if the person can legally work in the United States.<br>☐ Find out if you need to withhold and pay federal taxes.<br>☐ Find out if you need to withhold and pay state taxes. |
| **When you pay your household employee:** | ☐ Withhold social security and Medicare taxes.<br>☐ Withhold federal income tax.<br>☐ Decide how you will make tax payments.<br>☐ Keep records. |
| **By January 31, 2025:** | ☐ Get an employer identification number (EIN).<br>☐ Give your employee Copies B, C, and 2 of Form W-2, Wage and Tax Statement.<br>☐ Send Copy A of Form W-2 with Form W-3 to the SSA. Don't send Form W-2 to the SSA if you didn't withhold federal income tax and the social security and Medicare wages were below $2,700 for 2024. |
| **By April 15, 2025:** | ☐ File Schedule H (Form 1040), Household Employment Taxes, with your 2024 federal income tax return (Form 1040, 1040-SR, 1040-NR, 1040-SS, or 1041).<br>If you don't have to file a return, file Schedule H by itself. |

with the SSA by the due dates. You may also have to pay a penalty if you don't show your employee's SSN on Form W-2 or don't provide correct information on the form.

## Social Security and Medicare Taxes

The Federal Insurance Contributions Act (FICA) provides for a federal system of old-age, survivors, disability, and hospital insurance. The old-age, survivors, and disability insurance part is financed by the social security tax. The hospital insurance part is financed by the Medicare tax. Each of these taxes is reported separately.

Both you and your household employee may owe social security and Medicare taxes. Your share is 7.65% (6.2% for social security tax and 1.45% for Medicare tax) of the employee's social security and Medicare wages. Your employee's share is also 7.65% (6.2% for social security tax and 1.45% for Medicare tax). In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You're required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold. For more information on Additional Medicare Tax, go to *IRS.gov/ADMT*.